

debt retailers who had lots of cash and had gotten crushed—stocks like Gap, which was an \$11 stock with \$5 in cash and over \$1 in earnings. We bought Shaw, which had \$12 in cash and had fallen all the way to \$18.

Are there mistakes you learned from as a trader?

As an equity trader, I learned the short-selling lessons relatively early. There is no high for a concept stock. It is always better to be long before they have already moved a lot than to try to figure out where to go short.

What are examples of concept stocks?

The Internet stocks in the 1990s and biotech stocks in the late 1990s to early 2000s.

How about a current example?

The cloud computing companies. When P/E multiples get to 50, 60, or 70, you are in the realm of concept stocks.

I understand that you do both position trading and short-term trading. Is there something about the way prices move intraday that is helpful in short-term trading?

Yes. Do you know what happens in a bull market? Prices open up lower and then go up for the rest of the day. In a bear market, they open up higher and go down for the rest of the day. When you get to the end of a bull market, prices start opening up higher. Prices behave that way because in the first half hour it is only the fools that are trading [pause] or people who are very smart.

Sounds like a dangerous combination. Why is there a tendency to open counter to the prevailing trend?

When the market closes near the high of the move, there will be some traders who want to sell near the high, and they will be sellers on the next day's opening.

Are there any other useful short-term patterns?

If there is bearish news before the opening and the market does not trade down much during the first hour, it indicates that the smart money is not selling and that the dip is a buying opportunity.